

INSURANCE AND PENSIONS COMMISSION



FIRST QUARTER REPORT
FOR
SELF ADMINISTERED PENSION FUNDS

FIRST QUARTER ENDED 31MARCH 2015

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2.0 Industry Overview

This covers 15 standalone funds, 4 fund administrators and 3 life assurers.

Self-administered funds reported total received contributions amounting to \$ 61 million, a 6% growth from \$58million reported in the comparative quarter last year. Contribution arrears increased by 63% to \$168million from \$103million reported previously which is in sympathy with liquidity challenges affecting sponsoring employers and the general economy.

Fund administrators reported a total expenditure bill of \$40million(March 2014:21million) reflecting a 66% expenses to received contributions ratio(March 2014:19%).Although costs are increasing, the high expenses have been exacerbated by non-expense items such as depreciation and investment losses. The Commission will investigate this trend further in subsequent reporting periods in line with our mandate to protect and promote member values.

Total assets grew from \$1,88billion reported in the same period last year to \$2.04billion which was spread thus:- standalone funds (\$1,2billion or 59%),fund administrators (\$519million or 25%) and insurer-administered funds(\$323million or 16%). The average prescribed asset ratio grew remarkably from 2% to 6% as a result of improved availability of government paper and increased stakeholder engagement efforts(See Table 2.2below).

2.2 Financial SummaryforSelf-Administered Funds-31 March 2015

Item	Standalone Funds			Insurer Administered			Fund Administrators			TOTALS		
	Mar 2014	Mar 2015	%	Mar 2014	Mar 2015	%	Mar 2014	Mar 2015	%	Mar 2014	Mar 2015	%
Arrear Contributions (\$000)	46,847	95,469	104%	30,576	37,568	23%	25,929	36,070	39%	103,353	169,107	63%
Total Contributions (Incl.Arrears)(\$000)	72,919	128,913	77%	43,599	49,971	15%	44,438	51,586	16%	160,956	230,470	43%
Total Contributions (Excl. Arrears) (\$000)	26,072	33,444	28%	12,996	12,403	-5%	18,509	15,100	-18%	57,577	60,947	6%
Total Income (\$000)	41,402	47,704	15%	10,579	15,015	42%	59,302	35,165	-41%	111,283	97,884	-12%
Total Benefits	13,958	18,205	30%	5,393	4,339	-20%	20,143	26,440	31%	39,494	48,984	24%
Total Expenses (\$000)	4,502	4,929	9%	1,816	1,898	5%	14,423	33,268	131%	20,741	40,095	93%
Net Income(\$000)	22,942	24,534	6%	3,370	8,778	160%	24,736	(24,543)	-100%	51,048	8,769	(83%)
(Expense/Received Contributions)%	17%	15%	-2%	14%	15%	1%	78%	220%	142%	36%	66%	30%
(Expense/Total Income)%	11%	10%	-1%	17%	13%	-4%	24%	96%	72%	19%	41%	22%
Total Assets (\$000)	1,164,204	1,198,969	3%	274,508	322,630	18%	443,265	518,940	17%	1,881,977	2,040,539	8%
Prescribed Assets (\$000)	16,385	36,634	124%	4,613	16,026	247%	15,203	44,020	190%	36,201	124,674	244%
Prescribed Asset Ratio (%)	1	3%	2%	2%	5%	3%	3%	8%	5%	2%	6%	4%



SECTION A

STAND ALONE FUNDS

3.0 Standalone Self-Administered Pension Funds

This report is based on 15 standalone funds (See Table 1, below). Funds which failed to submit their returns on time were fined in terms of the Act.

Table 1: Standalone Self- Administered Pension Funds

Fund Name	Mar 2015
Catering Industry Pension Fund	1
Clothing Industry Pension Fund	1
Communication and Allied P/Fund	1
Construction Industry P/Fund	1
Local Authorities Pension Fund	1
Mining Industry Pension Fund	1
NRZ Pension Fund	1
ZB Financial Holdings P/Fund	1
Zimbabwe Electricity Industry Pension Fund	1
Specialized Business Machines	1
GMB Pension Fund	1
Motor Industry Pension Fund	1
Pentact Pension Scheme	1
Unified Councils Pension Fund	*
Zimpapers Pension Fund	1
Zimbabwe Amalgamated Railway Workers Union	*
TOTALS	15

*Returns not submitted

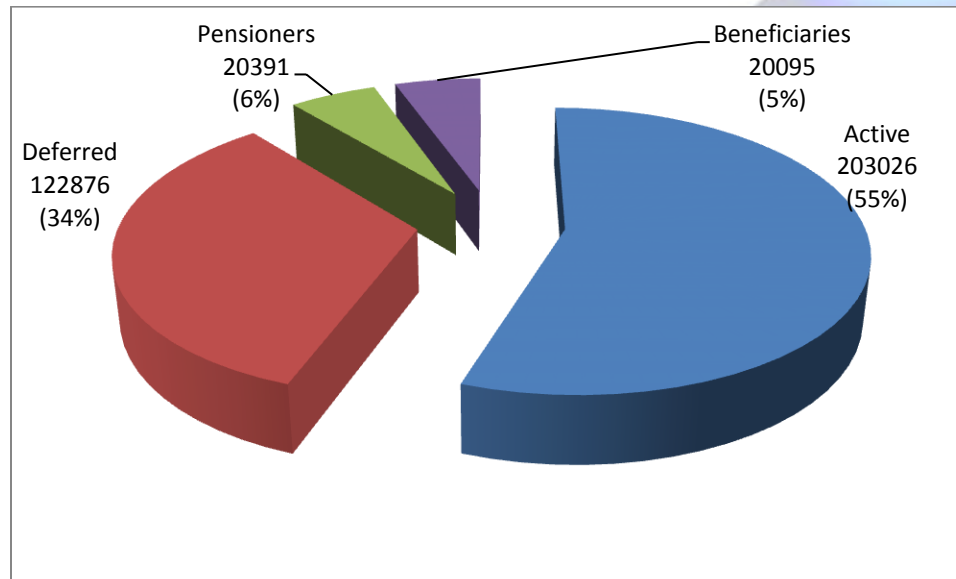
4.0 Pension Fund Membership

Total fund membership grew by 4% from the March 2014 statistics to close the period under review at 367 000. Active members contributed 203 000 or 55% (March 2014: 198 000 or 56%), deferred pensioners were 33% or 123 000 (March 2014: 19% or 66 000), pensioners 6% or 20 000 (March 2014: 19% or 66 000) whilst the balance of 20 000 or 5% was made up of beneficiaries (March 2014: 7% or 21 000) (See Table 2 and Figure 1, below).

Table2: Membership per Stand-alone Fund for the first quarter ended 31 March 2015

Fund Name	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth
Catering IPF	16952	13814	-19%	*	52257	-	46443	0	-100%	146	0	-100%	(0)	0	-	64,258	66071	3%
Clothing IPF	12464	12338	-1%	10066	10965	9%	0	0	-	186	0	-100%	(246)	(60)	-76%	22716	23303	3%
CAIPF	3292	3231	-2%	4031	4195	4%	1297	1442	11%	2901	2803	-3%	(0)	(55)	-	11521	11671	1%
CIPF	53721	65000	21%	5683	5781	2%	101	74	-27%	153	116	-24%	(0)	571	-	59658	70971	19%
LAPF	20206	19165	-5%	0	0	-	4190	4383	5%	7617	7443	-2%	(0)	(68)	-	32013	30991	-3%
MIPF	28889	26403	-9%	42415	45400	7%	7526	8311	10%	1252	1311	5%	0	(438)	-	80082	81425	2%
NRZ	6868	6501	-5%	1866	1900	2%	5562	4633	-17%	8524	7565	-11%	0	(92)	-	22820	20599	-10%
ZB FHGPF	985	670	-32%	843	849	1%	144	363	152%	175	172	-2%	(8)	(9)	13%	2147	2054	-4%
ZESA PF	6923	6758	-2%	0	0	-	191	402	110%	96	156	63%	0	0	-	7210	7316	1%
GMB	2036	1972	-3%	694	686	-1%	21	27	29%	0	0	-	(6)	(18)	200%	2751	2685	-2%
Zimpapers	*	886	-	*	842	-	*	495	-	*	500	-	*	7	-	0	2723	-
Motor Ind	45767	46280	1%	0	0	-	218	261	20%	47	29	-38%	0	0	-	46032	46570	1%
Pentact P/F	4	3	-25%	0	0	-	0	0	-	0	0	-	0	0	-	4	3	-25%
Specialised Buss M	*	5	-	*	1	-	*	0	-	*	0	-	*	0	-	*	6	-
ZMDC	184	176	-	0	0	-	62	68	-	79	78	-	0	-	-	325	322	-1%
Totals	198291	203026	2%	65598	122876	87%	65755	20391	-69%	21176	20095	-5%	260	(1318)	407%	351537	366710	4%

Figure 1: Membership for Stand-alone Funds for the first quarter ended 31 March 2015



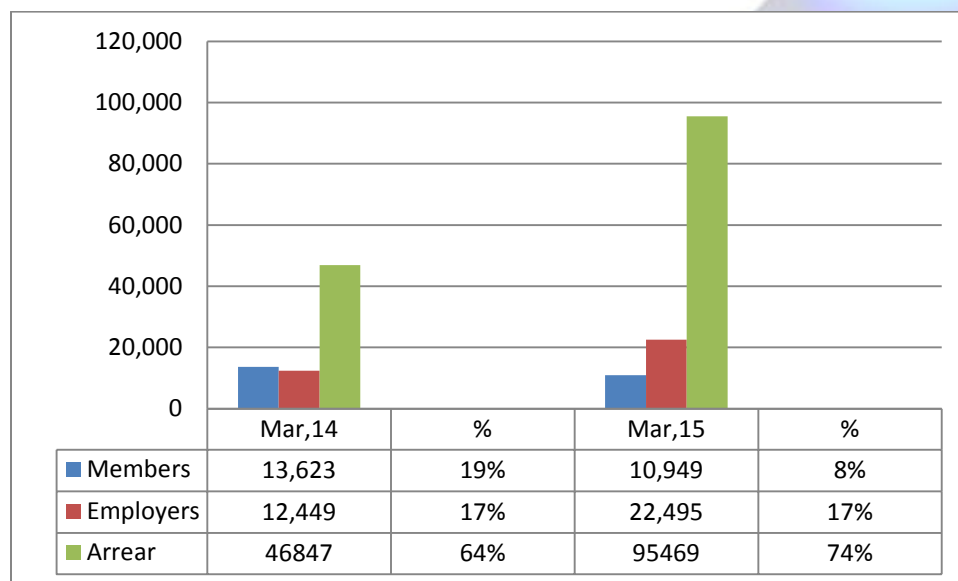
5.0 Contributions

Employer contributions amounted to \$22million or 17% of total contributions (March 2014:\$12million or 17%) whilst active members contributed \$11million or 8% of total contributions (March 2014: \$14million or 19%). Arrear contributions grew from 64% reported previously to 74% to close the reporting period at \$95million. The Commission continues to engage key stakeholders in monitoring payment plans as well as requiring upfront disclosure of the unfunded portion of member benefit statements and employer financials (See Table 3and Figure 2, below).

Table 3: Contribution Statistics per Standalone Fund for the first quarter ended 31 March 2015

Fund Name	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth
Catering IPF	205	246	20%	205	246	20%	0	0	#DIV/0!	0	0	-	410	492	20%
Clothing IPF	524	625	19%	400	876	119%	331	419	27%	927	1,501	62%	2,182	3,421	57%
CAIPF	332	364	10%	1,076	1,093	2%	514	511	-1%	9,059	19,633	117%	10,981	21,601	97%
CIPF	439	363	-17%	502	363	-28%	0	0	#DIV/0!	266	33	-88%	1,207	759	-37%
LAPF	5,030	1,936	-62%	1,703	10,632	524%	0	0	#DIV/0!	1005	34,480	3331%	7,738	47,048	508%
MIPF	4,009	4,010	0%	3,419	4,011	17%	95	501	427%	648	511	-21%	8,171	9,033	11%
NRZ	881	841	-5%	0	0	#DIV/0!	0	0	#DIV/0!	17,039	460	-97%	17,920	1,301	-93%
ZB FHGPF	204	144	-29%	306	212	-31%	0	0	#DIV/0!	0	0	-	510	356	-30%
ZESA PF	1,681	1,776	6%	3,560	3,775	6%	3,405	8,260	143%	7,235	17,552	143%	15,881	31,363	97%
GMB	101	93	-8%	467	404	-13%	101	572	466%	2,577	4,084	58%	3,246	5,153	59%
Zimpapers	*	0	-	*	0	#VALUE!	*	905	#VALUE!	*	1,267	-	0	2,172	#DIV/0!
Motor Ind	172	514	199%	809	769	-5%	405	44	-89%	2,441	3,305	35%	3,827	4,632	21%
Pentact P/F	1	1	0%	2	1	-50%	0	0	#DIV/0!	-	0	-	3	2	-33%
Specialised Business	*		-	*	1	-	*	0	-	*	0	-	0	1	#DIV/0!
ZMDC	44	36	-	-	112	-	0	360	-	799	1,071		843	1,579	87%
Total	13,623	10,949	-20%	12,449	22,495	80%	4,851	11,572	131%	41,996	83,897	97%	72,919	128,913	77%

Figure 2: Contributions Statistics per Stand-alone Fund for the first quarter ended 31 March 2015 (\$000)



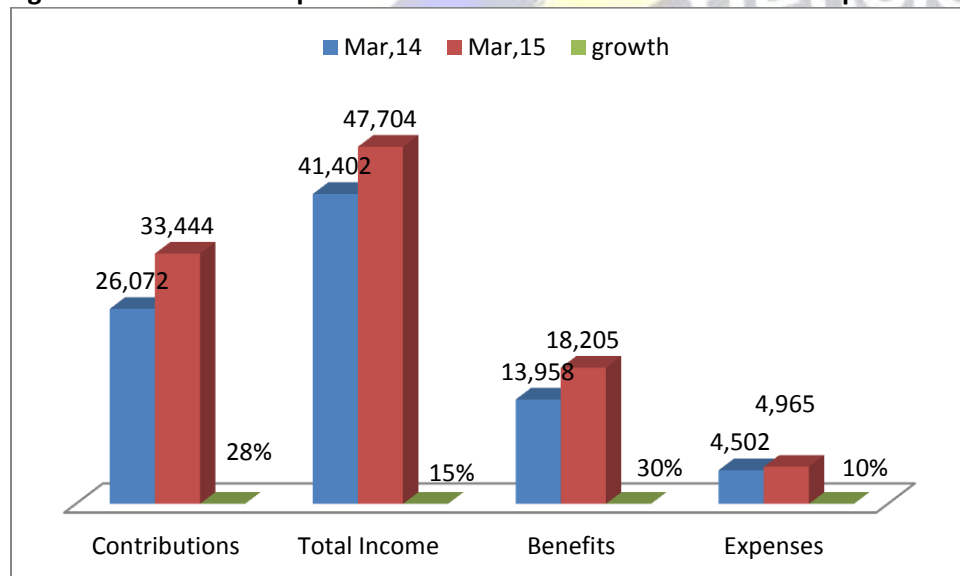
6.0 Income and Expenditure

For the quarter ended 31 March 2015, total received contributions were \$33million, a 28% growth from the same period last year. Standalone funds realized \$48million as total income (March 2014:\$41million). For the same period the expense ratios improved marginally which is a sign of prudent expenditure cuts in an effort towards preserving member values given generally depressed investment avenues obtaining in our market (See Table 4 and Figure 3 below). The relationship between the industry expense ratio and the prevailing inflation levels shows a lot of distortion. The Commission therefore urges administrators to act prudently to protect pension member values. Additional measures will be introduced to encourage prudence and fulfillment of reasonable expectations of members.

Table 4: Income and Expenditure per Stand-alone Fund for the first quarter ended 31 March 2015(\$000)

	Total Contributions Exc arrears			Total Income			Benefits Paid			Expenses			Expenses/contributions			Expenses/Total Income		
	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14		Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth
Catering IPF	410	492	20%	643	767	19%	181	189	4%	315	210	-33%	77%	43%	-34%	49%	27%	-22%
Clothing IPF	924	1,501	62%	1,017	1,781	75%	152	75	-51%	239	255	7%	19%	17%	-2%	24%	14%	-10%
CAIPF	1408	1,457	3%	6,054	4,167	-31%	2,293	2,808	22%	674	573	-15%	51%	39%	-12%	11%	14%	3%
CIPF	941	726	-23%	668	753	13%	247	239	-3%	493	729	48%	56%	100%	44%	74%	97%	23%
LAPF	6733	12,568	87%	8,909	14,500	63%	2,867	6,523	128%	482	488	1%	7%	4%	-3%	5%	3%	-2%
MIPF	7428	8,021	8%	10,437	11,038	6%	3,398	2,573	-24%	852	988	16%	11%	12%	1%	8%	9%	-1%
NRZ	881	841	-5%	4,702	4,533	-4%	3,952	3,885	-2%	584	475	-19%	66%	56%	-10%	12%	10%	-2%
ZB FHGPF	510	356	-30%	837	630	-25%	85	656	672%	101	50	-50%	20%	14%	6%	11%	8%	3%
ZESA PF	5241	5,551	6%	5,810	6,821	17%	83	184	122%	298	591	98%	6%	11%	5%	5%	9%	4%
GMB	568	497	-13%	680	678	0%	21	8	-62%	158	144	-9%	30%	29%	-1%	23%	21%	-2%
Zimpapers	*	0	-	0	55		*	307	-	*	95	-	*	-	-	*	173%	-
Motor Ind	981	1,283	31%	1,437	1,736	21%	638	747	17%	299	331	11%	47%	26%	-21%	21%	19%	-2%
Pentact P/F	3	2	-33%	5	3	-40%	0	0	-	-	0	-	*	12%	-	*	0%	-
Specialised Buss	*	1	-	*	1		*	0	-	*	0	-	*	0	-	*	0%	-
ZMDC	44	148	236%	203	241	19%	41	11	-73%	7	36	414%	5%	24%	19%	3%	-	-
Totals	26,072	33,444	28%	41,402	47,704	15%	13,958	18,205	30%	4,502	4,965	10%	17%	15%	-2%	11%	10%	-1%

Figure 3: Income and Expenditure for Standalone Funds for the first quarter ended 31 March 2015(\$000)



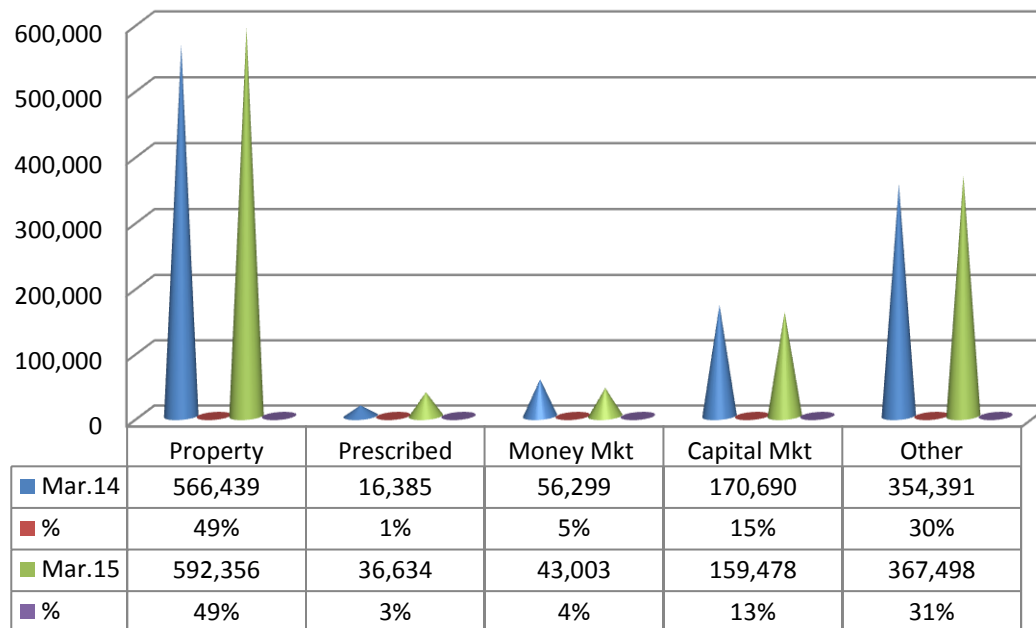
7.0 Fund Assets

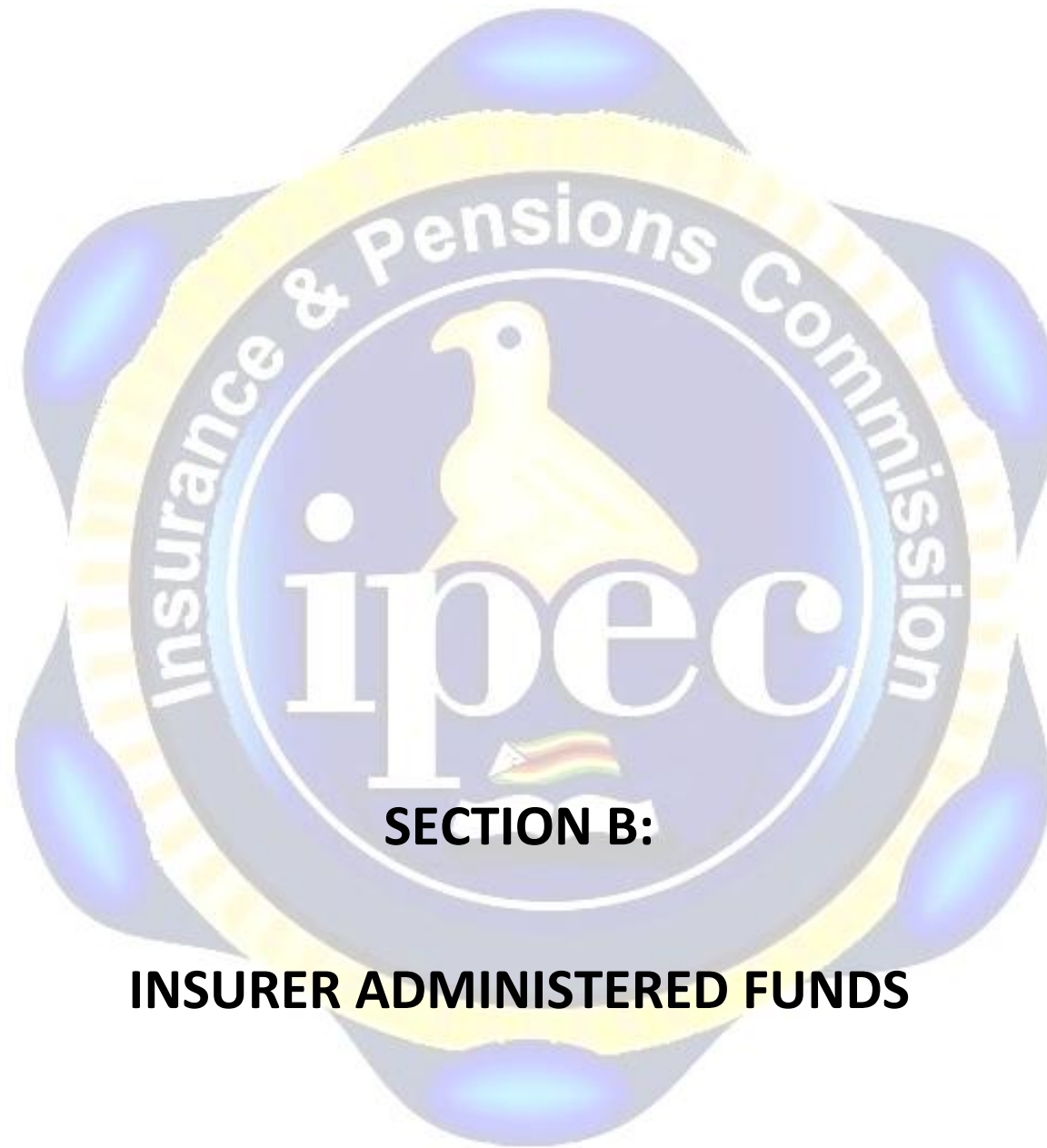
For the current reporting period, standalone funds held assets in properties-49% or \$592million(March 2014 :49% or \$566million}, equities-13% or \$149million(March 2014:15% or \$171million}, money market-4% or \$43million (March 2014:5% or \$56million}, other assets -31% or \$367million(March 2014:30% or \$354million} and prescribed asset compliance grew to 3%. Players must take note of the 31 December 2015 deadline for full compliance to avoid statutory penalties (See Table 5 and Figure 4, below). It is important as well for the pensions industry to participate in infrastructure and production support bonds.

Table 5: Fund Assets Market Value per Standalone Fund as at 31 March 2015

Fund Name	Immovable Property(\$000)			Prescribed Assets(\$000)			Money Market (\$000)			Capital Market Securities(\$000)			Other(\$000)			Total(\$000)		
	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth
Catering IPF	6,429	8,686	35%	67	102	52%	129	115	-11%	4,853	4,862	0%	1,701	886	-48%	13,179	14,651	11%
Clothing IPF	11,100	10,845	-2%	250	393	57%	1,286	1,561	21%	4,208	4,191	0%	1,468	1,552	6%	18,312	18,542	1%
CAIPF	87,021	84,921	-2%	5,833	8,045	38%	8,681	5,887	-32%	17,568	16,839	-4%	28,255	40,524	43%	147,358	156,216	6%
CIPF	12,377	17,651	43%	69	318	361%	-	0	-	6,002	5,815	-3%	4,109	1298	-68%	22,557	25,082	11%
LAPF	68,839	82,165	19%	-	200	-	-	0	-	35,794	32,790	-8%	102,025	136,108	33%	206,658	251,263	22%
MIPF	102,096	102,336	0%	6,807	11,333	66%	5,879	5,682	-3%	60,701	55,702	-8%	1,457	2512	72%	176,940	177,565	0%
NRZ	235,546	227,580	-3%	1,895	3,642	92%	14,879	7,358	-51%	17,213	13,265	-23%	177,221	124,856	-30%	446,754	376,701	-16%
ZB FHGPF	4,018	3,968	-1%	160	1,854	1059%	7,550	6,546	-13%	6,519	5,873	-10%	16	174	988%	18,263	18,415	1%
ZESA PF	21,950	29,880	36%	642	5,579	769%	9,960	10,100	1%	4,776	5,036	5%	31,704	48,155	52%	69,032	98,750	43%
GMB	10,095	9,478	-6%	-	314	-	2	0	-100%	16	7	-56%	2,837	4,893	72%	12,950	14,692	13%
Zimpapers	-	4,612	-	*	1,151	-	*	73	-	*	1,078	-	*	1,128	-	*	8,042	-
Motor Ind	6,968	8,660	24%	662	3,701	459%	7,323	5,125	-30%	13,033	13,614	4%	3,377	3,751	11%	31,363	34,851	11%
Pentact P/F	-	0	-	-	0	-	-	-	-	7	227	3143%	221	-	-100%	228	227	0%
Specialised Business M	*	0	-	*	2	-	*	9	-	*	2	-	*	-	-	*	13	-
ZMDC	-	1,574	-	-	0	-	610	547	-	193	177	-	3,783	1,661	-	4,586	3,959	-14%
Totals	566,439	592,356	4%	16,385	36,634	124%	56,299	43,003	-25%	170,690	159,478	-7%	354,391	367,498	3%	1,164,204	1,198,969	3%

Figure 4: Fund Asset Values for Standalone Funds as at 31 March 2015 \$(000)





SECTION B:

INSURER ADMINISTERED FUNDS

1.0 Insurer Self-Administered Pension Funds

This report covers 31 funds administered by 3 assurers (See Table 1, below).

Table 1: Fund Administrators

Insurer	Mar 2014
First Mutual	4
Old Mutual	25
Alfin	Currently under suspension
Zimnat	2
TOTALS	31

2.0 Pension Fund Membership

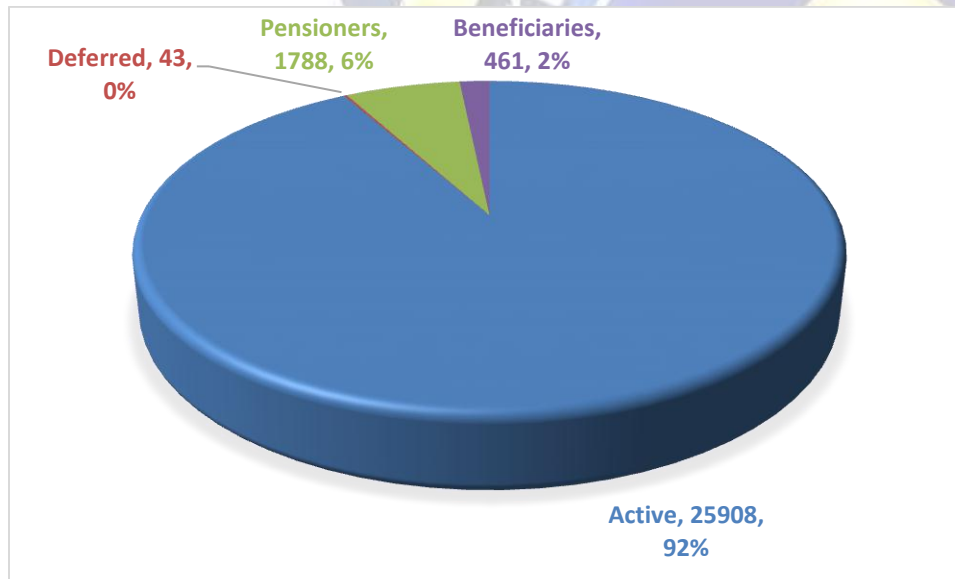
For the quarter ended 31 March 2015, total fund membership for insurer administered funds was 28 000, a 9% decline from 31000 reported in the same quarter last year which might be an indication of low values which warrant automatic full commutation or dissolution of some funds which have been dormant post dollarization and have negligible asset bases. The active members constituency remained flat at 92% of total membership, pensioners -6 % or 17 88 and beneficiaries and deferred pensioners making up the balance (See Table 2 and Figure 1, below).

Table2: Membership for Insured Self- Administered Pension Funds for the first quarter ended 31 March 2015

Insurer	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth
First Mutual	5240	3828	-27%	-	-	-	0	0	-	24	0	-	79	(86)	1%	5264	3828	-27%
Old Mutual	22558	21862	-3%	43	43	-	1872	1788	-4%	461	461	-	532	(423)	-20%	24934	24154	3%

Altfin	430	-	-100%	-	-	-	-	-	-	-	-	-	-	-	-	430	*	-
Zimnat	235	218	-7%	-	0		97	0	-	-	0	-	-	0	-	332	218	-34%
Totals	28463	25908	-9%	43	43		1969	1788	-9%	485	461	-5%	611	509	-17%	30960	28200	-9%

Figure 1: Membership Statistics for Insured Self-Administered Funds for the first quarter ended 31March 2015



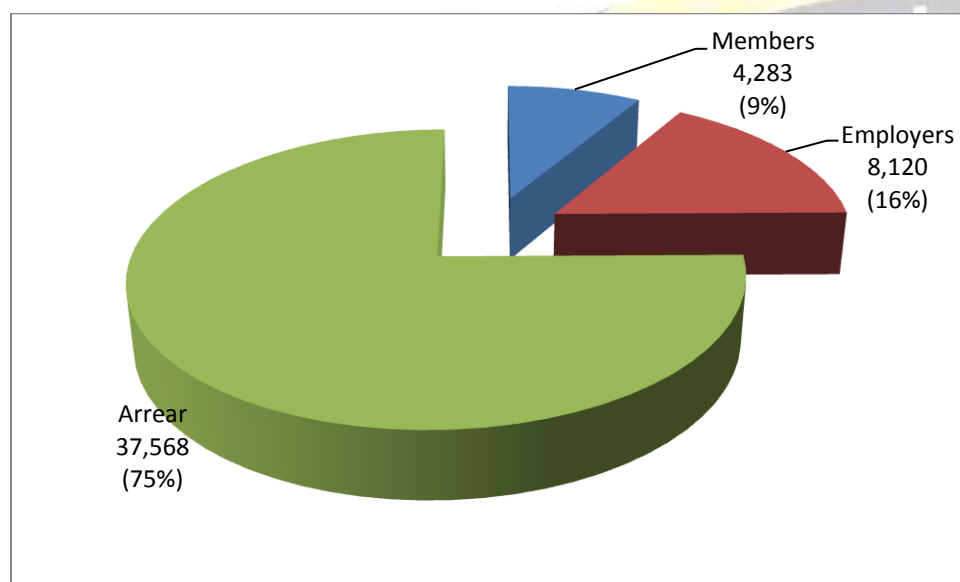
2.0 Contributions

For the current review period, employers contributed \$8million or 16% of the contribution receivables (March 2014:20% or \$9million) whilst employees paid \$4million or 9 % (March 2014:10% or \$4million). However arrear contributions constituted 75% to close the quarter at \$36 million. As highlighted, arrear contributions have continued to be a major challenge, which warrant all stakeholders to show commitment to fully address this issue. (See Table 3 and Figure 2below).

Table 3: Contributions Statistics for Insured Self-Administered Funds for the first quarter ended 31 March 2015

Insurer	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	Mar-14	Mar-15	Growth	Mar 2014	Mar 2015	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth
First Mutual	1,745	1,604	-8%	2,495	2,291	-8%	-	-	-	22,185	28,837	30%	26,425	32,732	24%
Old Mutual	2,623	2,611	0%	5837	5,653	-3%	0	0	-	8,316	8,702	5%	16776	16,966	1%
Altfin	51	-	-	57	-	-	27	0	-	46	-	-	181	0	-100%
Zimnat	72	68	-6%	116	176	52%	-	0	-	29	29	0%	217	273	26%
Totals	4,491	4,283	-5%	8505	8,120	-5%	27	0	-	30,576	37,568	23%	43,599	49,971	15%

Figure 2: Contribution Statistics for Insured Self-Administered Funds for the first quarter ended 31 March 2015 \$(000)



3.0 Income and Expenditure

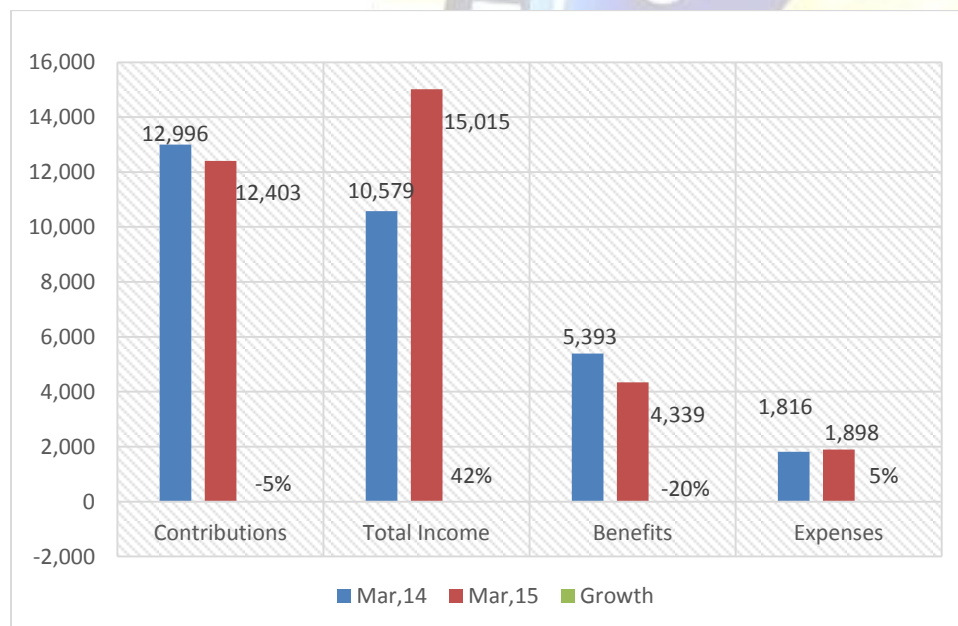
As at the current reporting period, insurers reported collected contributions amounting to \$12million and total income of \$15million (March 2014:\$11million).The expense to contribution ratio was almost flat at 15% whilst contributions total income ratio favorably improved from 17% last year to 13% for the current period. The Commission continues to monitor expense ratios as a key performance indicator in promoting member values.

The benefits paid were \$4million, a 20% decline from the same period last year which could be partly attributable to unfavorable investment returns (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Insurer for Self-Administered Funds for the first quarter ended 31 March 2015

Insurer	Total Contributions(Excl arrears)\$('000)			Total Income \$('000)			Total Paid Benefits \$('000)			Expenses \$('000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth
First Mutual	4,240	3,895	-8%	5,757	3,896	-32%	1,620	249	-85%	340	350	-	8%	9%	1%	6%	9%	3%
Old Mutual	8,460	8,264	-2%	4,365	10,813	148%	3,671	4,065	11%	1,381	1,438	4%	16%	17%	1%	32%	13%	19%
Altfin	108	-	-	37	-	-	3	-	-	55	-	-	51%	-	-	149%	-	-
Zimnat	188	244	30%	420	306	-27%	99	25	-75%	40	110	175%	21%	45%	24%	10%	36%	26%
Totals	12,996	12,403	-5%	10,579	15,015	42%	5,393	4,339	-20%	1,816	1,898	5%	14%	15%	1%	17%	13%	4%

Figure 3: Income and Expenditure for Insured Self-Administered Funds for the first quarter ended 31 March 2015 (\$'000)



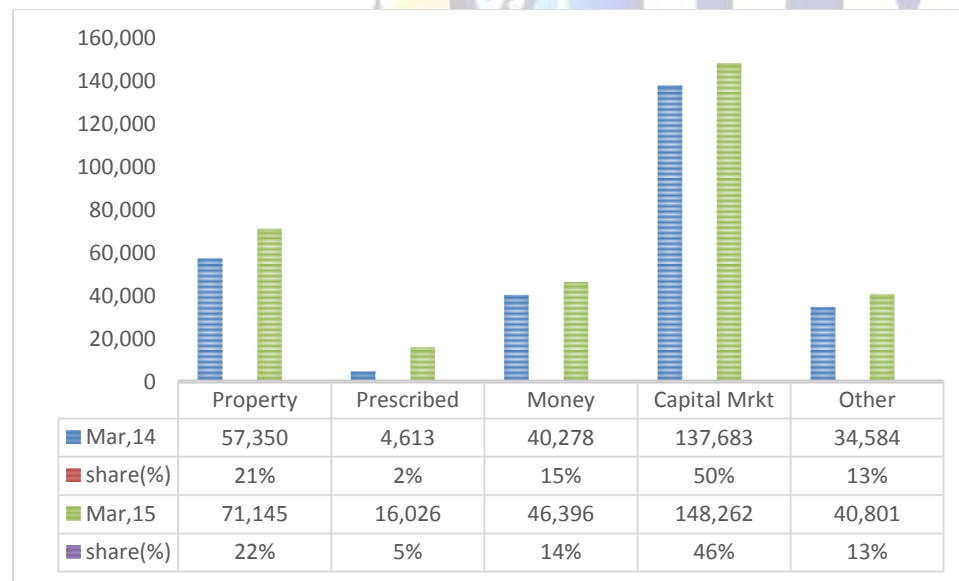
4.0 Fund Assets

As at 31 March 2015, investments in real estate were 22% or \$71million (March 2014 :21% or \$57million}, equities-46% or \$148million (March 2014:50% or \$138million}, money market- 14% or \$46million (March 2014:15% or \$40million}, other assets -13% or \$41million (March 2014:13% or \$35million} and prescribed asset subscription improved from 2% last year to 5% currently (See Table 5 and Figure 4, below).

Table 5: Fund Asset Statistics at Market Value for Insured Self-Administered Funds as at 31 March 2015\$(000)

Fund Name	Immovable Property\$(000)			Prescribed Assets\$(000)			Money Market Securities\$(000)			Capital Market Securities\$(000)			Other\$(000)			Total\$(000)		
	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth
First Mutual	3,907	14,621	274%	293	555	89%	62	3,231	5111%	19,848	23,911	20%	23,682	28,900	22%	47,792	71,218	49%
Old Mutual	53,177	56,524	6%	4,179	15,196	264%	38,396	42,318	10%	115,132	122,209	6%	8,906	11,519	29%	219,790	247,766	13%
Altfin	-	-	-	40	-	-100%	702	-	-100%	823	-	-100%	62	-	-	1,627	0	-100%
Zimnat	266	0	-100%	101	275	172%	1118	847	-24%	1880	2,142	14%	1934	382	-80%	5,299	3,646	-31%
Totals	57,350	71,145	24%	4,613	16,026	247%	40,278	46,396	15%	137,683	148,262	8%	34,584	40,801	18%	274,508	322,630	18%

Figure 4: Fund Assets for Insured Self-Administered Funds as at 31 March 2015 \$(000)





SECTION C:

FUND ADMINISTRATORS

1.0 Fund Administrators

This report is based on 138 funds in the books of Minerva, Marsh, ZIB and Cormaton Fund administrators (See Table 1, below).

Table 1: Fund Administrators

Fund Administrator	Mar 2014
Minerva	59
Comarton Consultants	30
ZIB	4
Marsh	45
TOTALS	138

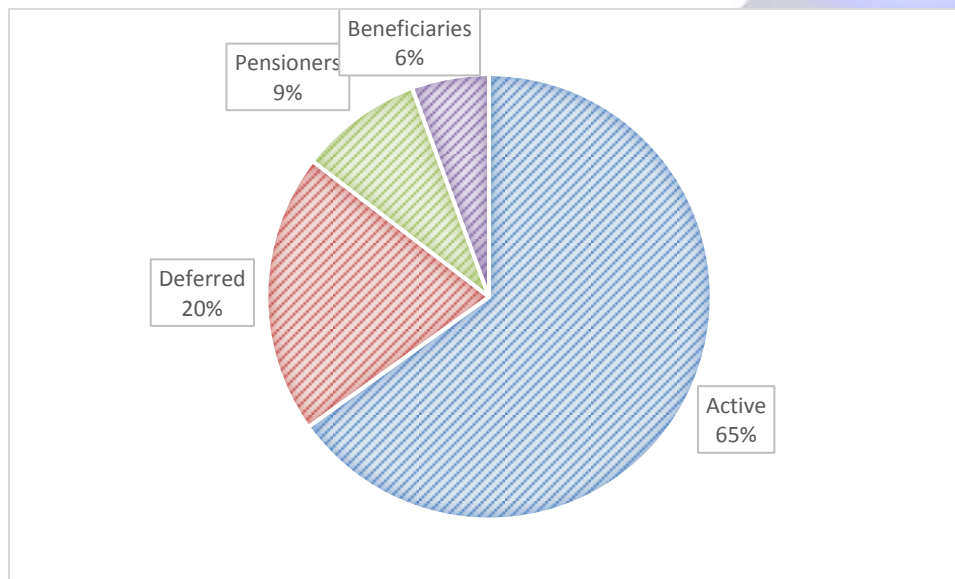
2.0 Pension Fund Membership

For the quarter ended 31 March 2015, total fund membership for fund administrators was 79 000(March 2014:81 000). The population for active members was 51 000 or 65% of total membership (March 2014:77% or 63 000), pensioners -9% or 7 000(March 2014:9% or 8000), deferred pensioners-20% or 16 000(March 2014:8% or 6 000) and beneficiaries making up the balance of 6%or 4 000 similar to the same period last year (See Table 2 and Figure 1, below)

Table2: Membership for Self- Administered Funds for the quarter ended 31March 2014

Administrator	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth
Minerva	31154	20877	-33%	1174	10593	802%	1834	1766	-4%	1017	1092	7%	439	(650)	48%	35179	34328	-2%
Comarton	15553	14722	-5%	503	521	4%	2133	2129	0%	1710	1729	1%	296	(165)	(54%)	19899	19101	-4%
ZIB	*	451	-	*	0	-	*	6	-	*	5	-	*	(2)	-	*	462	-
Marsh	16146	15413	-5%	4635	5002	8%	3534	3177	-10%	1747	1610	-8%	325	(741)	128%	26062	25202	-3%
Totals	62853	51463	-18%	6312	16116	155%	7501	7078	-6%	4474	4436	-1%	1060	(1558)	47%	81140	79,093	-3%

Figure 1: Membership for the first quarter ended 31 March 2015



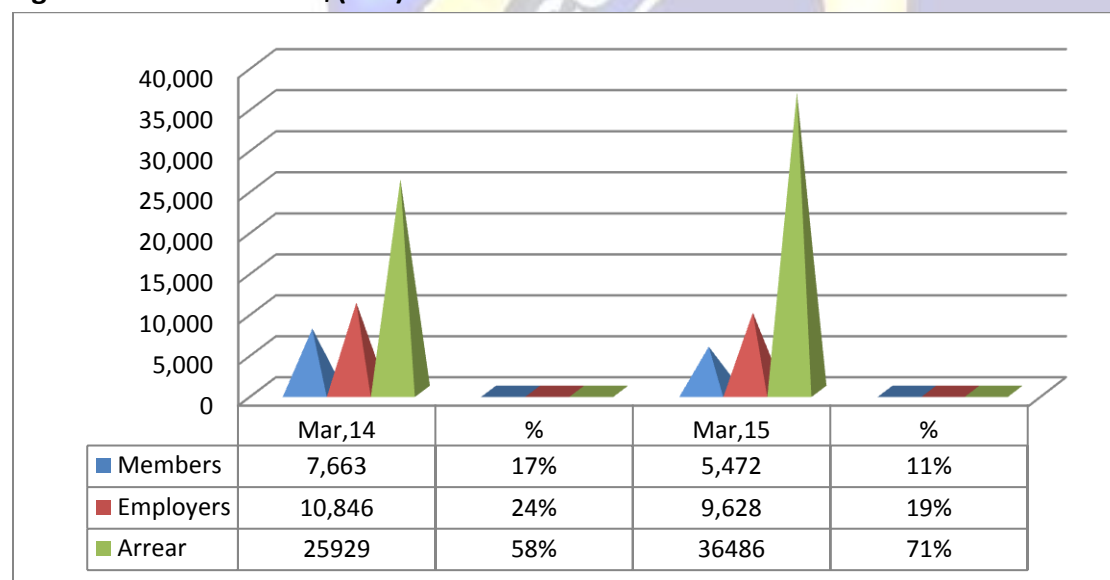
3.0 Contributions

For the current reporting period, employers contributed \$10million or 19% of the total contributions (March 2014:24% or \$11million) whilst employees paid \$5million or 1 % (March 2014:17% or \$8million). However the balance of 71% or \$36 million were in contribution arrears (March 2014:58% or 26million). Key stakeholders continue to be engaged in an effort to restore normalcy in the medium to long term (See Table 3 and Figure 2 below).

Table 3: Contributions Statistics for Self-Administered Funds for the first quarter ended 31 March 2015

Fund Name	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	Mar-14	Mar-15	Growth	Mar 2014	Mar 2015	Growth	Mar-14	Mar 2 015	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth
Minerva	2,849	3,263	15%	5,794	5,529	-5%	1,423	2,237	57%	3,867	4,383	13%	13,933	15,412	11%
Comarton	535	497	-7%	1,609	1,240	-23%	915	160	-83%	11,519	19,592	70%	14,578	21,489	47%
ZIB	*	20	-	*	45	-	*	0	-	*	416	-!	*	481	-!
Marsh	4,279	1,692	-60%	3443	2,814	-18%	0	0	-	8,205	9,698	18%	15,927	14,204	-11%
Total	7,663	5,472	-29%	10,846	9,628	-11%	2,338	2,397	3%	23,591	34,089	43%	44,438	51,586	16%

Figure 2: Contributions \$(000)



4.0 Income and Expenditure

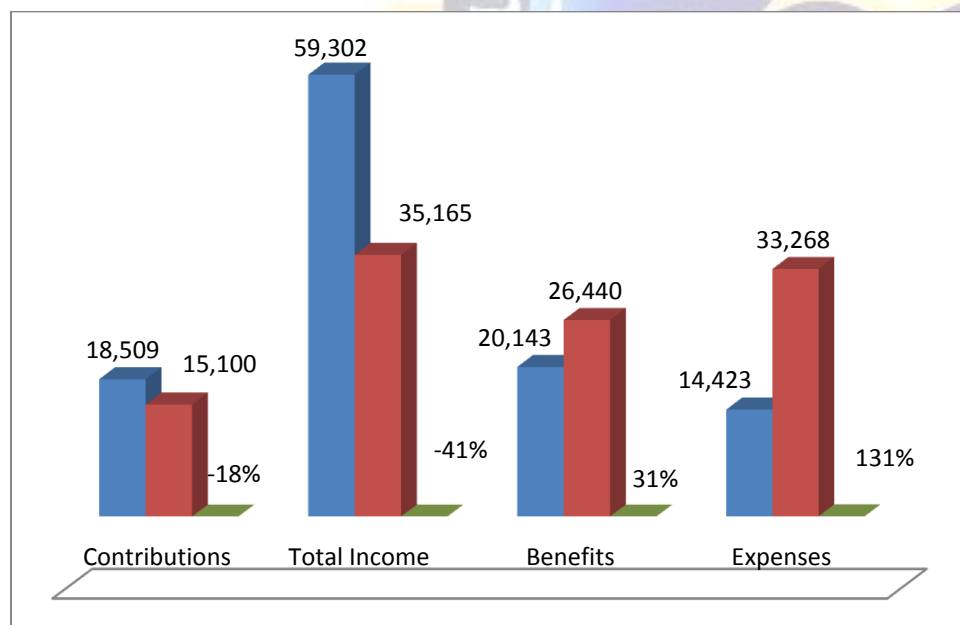
For the current reporting quarter, fund administrators received total contributions amounting to \$15million and total income of \$35million (March 2014:\$59million).The expenses bill was \$33million which was twice the contribution collections. Payers attributed a huge expense bill to non-cash items like depreciation, investment losses among others. The Commission shall continue to monitor this aspect closely in its on-site and offsite evaluations in order to protect member values.

Resultantly the expense ratios were high compared to the same period last year (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure for Self-Administered Funds for the first quarter ended 31 March 2015

Fund Name	Total Contributions(Excl arrears)(000)			Total Income \$(000)			Total Paid Benefits \$(000)			Expenses \$(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth
Minerva	8,643	8,792	2%	42,240	26,044	-38%	13,390	23,111	73%	9,192	30,164	228%	105%	343%	238%	22%	116%	94%
Comarton	2,144	1,737	-19%	7,004	2,543	-64%	2,019	1,284	-36%	2177	996	-54%	102%	57%	(45%)	31%	39%	8%
ZIB	*	65	-	*	69	-	*	0	-	-	5	-	*	8%	-	*	7%	-
Marsh	7,722	4,506	-42%	10,058	6,509	-35%	4,734	2,045	-57%	3,054	2,103	-31%	40%	47%	7%	30%	32%	2%
Totals	18,509	15,100	-18%	59,302	35,165	-41%	20,143	26,440	31%	14,423	33,268	131%	78%	220%	142%	24%	95%	21%

Figure 3: Income and Expenditure \$(000)



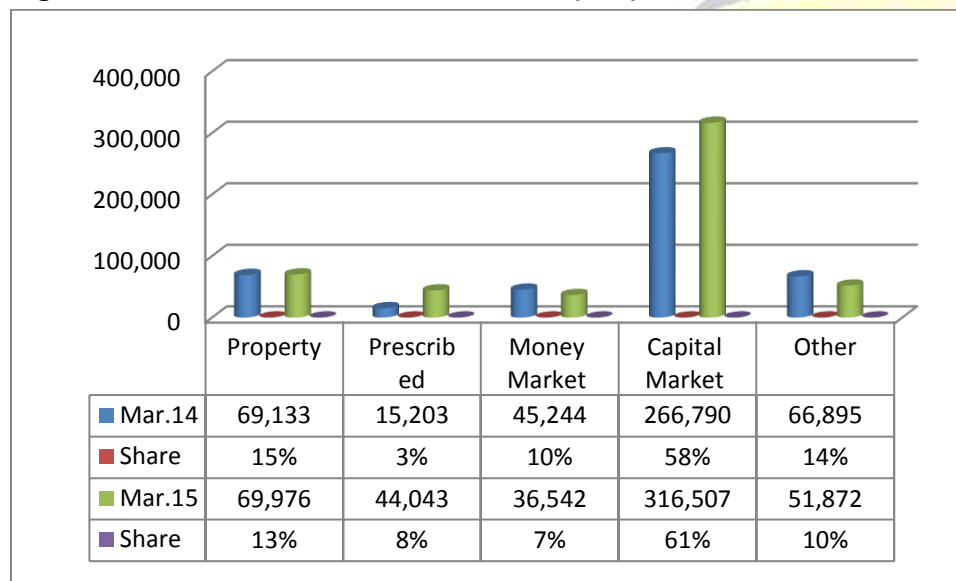
5.0 Fund Assets

For the quarter ended 31 March 2015, fund administrators reported that their investment assets were in properties- 13% or \$70million(March 2014 :15% or \$69million}, equities-61% or \$317million(March 2014:58% or \$267million}, money market- 7% or \$37million (March 2014:10% or \$45million}, other assets -10% or \$52million(March 2014:14% or \$67million} and prescribed asset subscription rose to 8% from the reported 3% in the comparative period last year. Players should continue to abide by investment guidelines from the Commission and follow through recommendations from their respective actuaries (See Table 5 and Figure 4, below).

Table 5: Fund Asset Statistics at Market Value for Self Administered Funds as at 31March2015

Admin.	Immovable Property \$(000)			Prescribed Assets \$(000)			Money Market Securities \$(000)			Capital Market Securities \$(000)			Other \$(000)			Total \$(000)		
	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth	Mar-14	Mar-15	Growth
Minerva	22,828	24,220	6%	8,902	27,081	204%	8244	0	-100%	143,987	174,677	21%	49499	31,276	-37%	233,460	257,254	10%
Comarton	-	-	-	916	5,965	551%	15819	17,124	8%	48715	64,983	33%	-	-	-	65,450	88,072	35%
ZIB	*	0	-	*	23	-	*	54	-	*	272	#VALUE!	*	416	-	*	765	-
Marsh	46,305	45,756	-1%	5385	10,974	104%	21181	19,364	-9%	74088	76,575	3%	17396	20,180	16%	164,355	172,849	5%
Totals	69,133	69,976	1%	15,203	44,043	190%	45,244	36,542	-19%	266,790	316,507	19%	66,895	51,872	-22%	463,265	518,940	12%

Figure 4: Fund Assets as at 31 March 2015 \$(000)



6.0 Legislation Amendments

As reported previously, the amendments to the Pension and Provident Funds Act Chapter 24:09 are ongoing.

Conclusion

The major challenges for the pensions industry continue to be arrear contributions, high expense ratios and meager benefits and capital values to members. The Commission will continue to engage key stakeholders so as to improve member benefits and protect their interests.



